

“Investing in Dogecoin, pretty sure it’s the next big thing.”³³
After a positive reception to what was intended as a joke, he bought the domain, Dogecoin.com. Jackson’s activity caught the attention of Billy Markus, a Portland, Oregon-based developer who aspired to launch a new cryptoasset. In Markus’s own words: “The first thing I said was, ‘This is so funny.’ Then I said, ‘I should just make this coin.’”³⁴

Markus used Litecoin’s code to derive Dogecoin, thereby making it one more degree of separation removed from Bitcoin. If Litecoin was a child of Bitcoin, then Dogecoin was a grandchild of Bitcoin. A notable variation was that Dogecoin planned to issue a much larger amount of dogecoin than bitcoin or even litecoin. The plan was to have 100 billion dogecoin in circulation after 1.5 years.³⁵ That would equal nearly 5,000 times more coins than bitcoin when it reaches its maximum supply.

Markus’s team later chose to issue roughly 5 billion coins each year, and this created a vastly different supply schedule from those of the deflationary bitcoin and litecoin. Dogecoin mostly gained traction amongst Internet tippers. The supply schedule has kept the value of a single dogecoin to a fraction of a cent, which is suited to its intended use case. As Palmer stated in an early interview:

It’s not taking itself as seriously, it’s not being used by people worrying about whether they’ll become rich ... It’s something to share for thanks or kudos.³⁶

Palmer’s marketing expertise was another feature that differentiated Dogecoin from other cryptocurrencies at the